

Mueller Industries / Mueller Water Products

Horizontal Consolidation — Forecasting, Budgeting & Credit Analysis

HYPOTHETICAL / INDEPENDENT ANALYSIS — NOT AN ANNOUNCED TRANSACTION. This is a self-directed MBA project exploring a hypothetical combination of two real, unrelated public companies. Not affiliated with, endorsed by, or based on non-public information from either company. Not investment advice.

Prepared by Khushi | MBA, Financial Services, Woxsen University | October 2026

1. Project Overview

This project builds an independent forecasting, budgeting, and credit model around a hypothetical acquisition of Mueller Water Products, Inc. (NYSE: MWA) by Mueller Industries, Inc. (NYSE: MLI). The two companies are real and unrelated — they share a surname by historical coincidence, not corporate lineage — but serve overlapping water-infrastructure end markets: MLI manufactures copper tube, fittings, and brass rod; MWA manufactures iron gate valves, fire hydrants, and smart water metering equipment.

The purpose of the project was to practice three skills together on real data: driver-based forecasting, operating and capital budgeting, and credit/leverage analysis — rather than any single one in isolation.

2. Objective

- Build standalone FY2025 financials for both companies from their public SEC filings.
- Construct a pro forma combination with an explicit, audited EBITDA bridge.
- Model commodity (copper) price pass-through and its effect on MLI's fabrication margin.
- Build a five-year forecast with revenue drivers, a full EBITDA-to-Free-Cash-Flow bridge, and a capital expenditure budget.
- Assess the combined entity's credit profile and how leverage evolves under the forecast.

3. Data Sources & Methodology

All standalone financial data is sourced from each company's FY2025 Form 10-K and Q4/FY2025 earnings releases, filed with the SEC (EDGAR). Figures used directly from filings are labeled 'sourced' throughout the model; figures that had to be derived (e.g., an implied D&A figure backed out from two reported metrics) are labeled 'derived' with the calculation shown. Forward-looking assumptions — revenue growth drivers, synergy value, cost-to-achieve, tax rate, and working capital intensity — are labeled 'illustrative' and are not disclosed guidance from either company, except where a figure is explicitly tied to disclosed management guidance (MLI's FY2026 CapEx range).

The underlying workbook (model/MLI_MWA_Corrected_Model.xlsx) is generated entirely from a Python script (model/build_model.py), so every formula and assumption is visible and auditable in source code, not just in the spreadsheet output.

4. Standalone Financial Summary (FY2025 Actual)

Metric (\$M)	MLI (NYSE: MLI)	MWA (NYSE: MWA)
Net Sales	4,178.5	1,429.7
Gross Profit / Margin	1,212.4 (29.0%)	516.7 (36.1%)
Operating Income	958.5	260.6
EBITDA / Margin	1,027.1 (24.6%)	307.5–326.2 (21.5–22.8%)
Net Income	765.2	191.7
Total Debt	0 (debt-free)	451.6 (4.0% Senior Notes, due 2029)
Cash & Equivalents	1,389.7	431.5
CapEx	68.8 (FY26E guidance: \$80–90M)	47.3

Note: MLI's disclosed COGS, D&A, and SG&A line items sum to \$3,283.3M, while the 10-K's own 'Operating expenses' subtotal is \$3,220.0M — a \$63.4M gap, most likely unallocated corporate costs not broken out in the excerpt available. The model uses MLI's headline reported Operating Income and EBITDA directly rather than reconstructing them bottom-up, and flags this gap explicitly rather than obscuring it (see Section 8).

5. Copper Cost Engine

MLI's profitability is sensitive to copper price movements and the lag between COMEX pricing and realized selling price. The model's Copper_Cost_Engine tab calculates an Effective Procurement Cost as a blend of the prior-quarter and current-quarter COMEX average (both sourced from MLI's own earnings releases: \$4.83/lb and \$5.13/lb respectively), weighted by an assumed 45-day pricing lag. The Realized Selling Price is modeled as the fabrication spread plus a pass-through-weighted blend of current and prior pricing. The forecast's base case holds copper flat at the current-quarter price, and this assumption is stated explicitly so the forecast and the sensitivity analysis are built on a consistent footing.

6. Pro Forma Consolidated (FY2025 Basis)

The pro forma combines each company's FY2025 headline EBITDA and layers in an illustrative \$14M of net run-rate synergies (\$8M procurement/COGS, \$6M SG&A), producing pro forma EBITDA of approximately \$1,339M. This figure is explicitly a 'Day-1, full-synergy' illustration — distinct from the five-year forecast's FY2025 column, which is the pre-deal standalone baseline before any synergies are assumed to ramp in.

7. Five-Year Forecast (FY2026E–FY2030E)

7.1 Revenue

Revenue is built as volume growth × price/mix growth for each company separately, rather than a single blended growth rate. MLI: ~2.0% volume + ~2.0% price/mix (price/mix held modest, consistent with the flat-copper base case). MWA: ~2.5% volume + ~2.4% price, reflecting discussed water-infrastructure capital spending tailwinds. Neither company discloses unit volume at this granularity, so both components remain analyst assumptions — but decomposing growth into drivers is a materially more defensible approach than an undifferentiated flat rate.

7.2 EBITDA & CapEx

EBITDA margins are held flat at FY2025 actual levels for both companies. MLI's FY2026E CapEx is set to \$85M — the midpoint of the company's own disclosed \$80–90M guidance — rather than a historical ratio; later years and MWA's CapEx throughout use each company's historical capex-to-revenue ratio.

7.3 Free Cash Flow Bridge

The forecast walks EBITDA down to Free Cash Flow: less D&A to EBIT, less interest expense (on MWA's existing 4.0% Senior Notes only — MLI is debt-free), less tax (24% illustrative blended rate), to Net Income; then adds back D&A and subtracts CapEx, incremental net working capital, dividends (each company's own trailing payout ratio applied to its EBITDA-weighted share of combined net income), and a one-time cost-to-achieve for synergies (1.2x run-rate synergy value, or \$16.8M, expensed as cash in Years 1–2).

7.4 Synergy Phasing

The \$14M of illustrative run-rate synergies ramps in over four years — 25%, 50%, 75%, 100% — rather than being assumed to appear immediately, consistent with how integrations actually unfold.

8. Credit & Leverage Analysis

MLI carries zero debt; MWA's \$451.6M of debt is entirely a 4.0% Senior Notes issue with no scheduled amortization and no maturity until 2029 — a bullet structure. The model therefore holds combined debt flat across the forecast window (consistent with the real note terms) and rolls combined cash forward using actual modeled Free Cash Flow each year, rather than holding cash static. The combined entity begins in a substantial net cash position (debt below cash by roughly \$1.37B at FY2025), and this net cash cushion grows relative to EBITDA over the forecast horizon as Free Cash Flow accumulates —

Net Debt/EBITDA moves from approximately -1.0x to roughly -3.3x over five years, reflecting genuine cash generation rather than an assumption held artificially constant.

9. Known Data Limitations

- MLI's three disclosed opex line items (COGS, D&A, SG&A) do not sum to its reported total Operating expenses — a \$63.4M gap, likely unallocated corporate costs not broken out in the source excerpt. Addressed by using headline reported figures as authoritative rather than a bottom-up reconstruction.
- MWA's COGS/SG&A split below gross profit is derived as a plug from reported Operating Income, not pulled as a direct 10-K line item — flagged in the model for follow-up verification against the full filing.
- Revenue growth drivers (volume/price decomposition), synergy value, cost-to-achieve, and working capital intensity are illustrative analyst assumptions, not disclosed by either company.

10. Key Takeaways

- The combined entity would be lightly levered to the point of being net-cash-positive, giving it real flexibility to fund the transaction itself without stressing its credit profile.
- MLI's profitability is meaningfully exposed to copper price movements; the Copper_Cost_Engine and Sensitivity_Matrix tabs quantify this rather than assuming it away.
- Synergy value is real but backloaded and not free — the model nets a cost-to-achieve against it rather than presenting pure upside.

Author's Note

This project went through two correction passes. An initial draft used fabricated standalone financials for MLI (reporting a negative EBITDA margin against a company that actually posted the best year in its history) and a self-referential formula in the copper pricing engine; both were identified and rebuilt from the actual 10-K data. A subsequent review — applying the standard of a twenty-year budgeting/FP&A practitioner — found the rebuilt forecast still understated disclosed CapEx guidance, used a flat blended growth rate instead of driver-based revenue, left the copper engine disconnected from the forecast, held \$1.8B of cash motionless for five years, omitted integration cost-to-achieve, and had no path from EBITDA to actual cash flow. All were fixed in the current version. Both draft states are preserved in the project repository's archive folder, documented rather than deleted, as part of the project's record.

Sources

- Mueller Industries, Inc. FY2025 Form 10-K (filed Feb 2026), SEC EDGAR
- Mueller Industries, Inc. Q4/FY2025 earnings release
- Mueller Water Products, Inc. FY2025 Form 10-K (filed Nov 2025), SEC EDGAR
- Mueller Water Products, Inc. Q4/FY2025 earnings release